

		simple lemon law action, which did not require any complex litigation. <u>Conclusion</u> Plaintiff is awarded total attorney fees of: \$17,920. Moving Party to give notice.
8.	2024-1432624 Hana Korean BBQ, LLC vs. Tenet Sac Holdings, LLC	Defendants’ motion for judgment on the pleadings is granted as to the second cause of action for negligence, with 30 days’ leave to amend, and otherwise denied. Defendant Tenet Sac Holdings, LLC’s motion for leave to file a cross-complaint is granted. <u>Motion for judgment on the pleadings</u> A motion for judgment on the pleadings tests the legal sufficiency of the challenged pleading. The Court accepts properly pleaded material facts and reasonable inferences, but not conclusions of law. The complaint is read as a whole, including its attached exhibits. The grounds for the motion must appear on the face of the pleading or from matters properly subject to judicial notice. (Code Civ. Proc., § 438, subds. (c)–(d).) The motion challenges the first cause of action against Tenet, the second cause of action against all defendants, and the third and fourth causes of action against Vierergruppe Management and Continuum Analytics. It does not challenge the third or fourth cause of action against Tenet. <u>First cause of action – breach of contract</u> The motion is denied. Hana attaches the lease and alleges Tenet assumed the landlord’s obligations. It identifies failures to maintain the property and to provide annual statements and reconciliation of common area maintenance charges. (Complaint, ¶¶ 10–17, 20–22.) These allegations identify contractual duties and asserted breaches sufficiently to withstand this motion. In particular, section 13.6(b) requires an annual statement of actual common area expenses and a reconciliation of the tenant’s estimated payments. The lease’s notice-and-cure provisions are material. Section 12.1 conditions liability for specified repairs on written notice and a reasonable opportunity to perform them. Section 19.4 requires written notice of a landlord default and an opportunity to cure. Section 27.30 also addresses notice and an opportunity to cure before the tenant pursues a separate action.

Hana alleges that it performed all, or substantially all, of its obligations or was excused from performance. (Complaint, ¶ 25.) Code of Civil Procedure section 457 permits performance of contractual conditions precedent to be pleaded generally. Read together with the allegations of repeated repair requests and demands for compliance, paragraph 25 sufficiently alleges performance at this stage. The complaint does not affirmatively disclose a failure to satisfy the applicable conditions. Whether Hana can prove contractually sufficient notice and expiration of the required cure periods remains to be determined.

Defendants also challenge the implied-covenant allegations concerning preferential treatment of other tenants. The implied covenant cannot create contractual rights inconsistent with the lease. But even if particular allegations concerning other tenants do not establish a breach, that does not defeat the entire cause of action, which also rests on identified maintenance and CAM obligations.

Likewise, the lease's restrictions on lost profits and consequential damages do not dispose of the entire contract claim. Hana also alleges charges for expenses not actually incurred and a failure to provide the required reconciliation. Denial of this motion does not determine which categories of damages Hana may ultimately recover.

Second cause of action – negligence

The motion is granted with leave to amend.

Hana alleges unsafe conditions, including inoperable elevators and escalators, mold in a stairwell, and an uncovered electrical transformer. Landlords and property managers may owe duties concerning unsafe premises independent of a lease. The existence of such duties, however, does not itself establish a right to recover every financial loss associated with their breach.

The damages alleged in paragraph 32 consist of rent paid for deficient services and conditions, accommodation expenses, lost profits, and damage to Hana's business. The complaint does not allege bodily injury or physical damage to Hana's property. The elevator incident involving another tenant does not supply such an injury to Hana.

California generally does not permit recovery in negligence for purely economic losses absent a recognized exception. Where contracting parties seek the economic benefits of their agreement, negligence ordinarily cannot substitute for their contract remedies. (*Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 922–923.)

Hana's allegations against Tenet seek compensation for the financial consequences of deficient performance of the lease's maintenance and management obligations. References to safety requirements and foreseeable business losses do not, without more, establish an independent basis for recovering those losses in negligence.

The management defendants are not parties to the lease. Their potential liability for Hana's economic losses therefore requires separate consideration. A special relationship may support recovery where the plaintiff was an intended beneficiary of a particular transaction or undertaking and was harmed by the defendant's negligent performance. (*Southern California Gas Leak Cases* (2019) 7 Cal.5th 391, 400–401.) In *J'Aire Corp. v. Gregory* (1979) 24 Cal.3d 799, 804–805, a contractor hired by a landlord to renovate a restaurant's premises owed a duty to the restaurant operator to avoid unnecessary business losses from delay. The relevant considerations include the extent to which the undertaking was intended to affect the plaintiff, foreseeability, certainty of injury, the connection between the conduct and injury, moral blame, and prevention of future harm.

The Court has considered Hana's allegations that the management defendants participated in the challenged conduct, knew of the conditions, could correct them, and received or deleted repair requests concerning conditions impairing Hana's operations. (Complaint, ¶¶ 5, 13–14, 18.) Those allegations support foreseeability and a connection between the alleged conduct and Hana's losses. The alleged disregard of repeated requests also bears on blameworthiness. Nevertheless, the complaint does not sufficiently describe the scope of either manager's undertaking or facts showing that Hana was an intended beneficiary of that undertaking in the sense contemplated by *J'Aire*. Paragraph 28's assertion of a duty to manage and repair the property consistently with the lease and applicable law does not supply those missing facts. General management responsibilities and knowledge that deficient maintenance will harm a tenant's business do not, without more, establish a duty to protect that tenant against purely economic loss.

This conclusion does not require Hana to allege a direct contract with either manager, nor does it categorically exclude property-management or repair undertakings from the special-relationship exception. The deficiency concerns the facts identifying the undertaking and its intended connection to Hana.

Hana's reliance on *Burnett v. Chimney Sweep* (2004) 123 Cal.App.4th 1057 does not resolve that deficiency. The tenants there alleged physical injuries from mold exposure and contamination of their inventory and belongings. Hana alleges no comparable injury. Recognition that a property manager may owe duties concerning dangerous conditions does not itself establish a right to recover the purely economic losses pleaded here.

Leave to amend is appropriate where there is a reasonable possibility that amendment can cure the identified defects. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) The Court finds such a possibility here. Further allegations concerning the nature of Hana's injury or the scope and intended beneficiaries of the management defendants' undertakings may supply a basis for recovery in negligence. Hana may amend to allege those facts, if supported, including facts identifying the undertaking and conduct attributable to each management defendant.

Third cause of action – private nuisance

The motion is denied as to Vierergruppe and Continuum.

The complaint alleges more than the management defendants' status as agents. Paragraph 5 alleges their participation in the challenged conduct, their knowledge and approval of it, and their ability to correct the conditions. The incorporated allegations identify persistent access obstructions and unsafe conditions, repeated repair requests, and deletion of electronic repair requests by Tenet or its management companies. Paragraph 34 alleges that defendants created or permitted the continuing conditions and thereby interfered with Hana's use of the premises.

Read together, these allegations sufficiently connect the management defendants to the asserted interference with Hana's possessory interest. They allege substantial interference with access to and use of the leased premises, including knowing continuation of the conditions after requests for correction. (Civ. Code, § 3479.)

An agent may be liable for its own wrongful conduct. (Civ. Code, § 2343, subd. 3.) The lease's reservation of control over common areas to the landlord does not establish that the landlord's alleged managing agents lacked authority to act on its behalf or did not participate in the conduct alleged.

The ruling on negligence does not require a different result. This cause of action alleges knowing interference with Hana's use and enjoyment of its leased property, rather than merely negligent infliction of business losses. The motion's contention that the

complaint fails to connect Vierergruppe and Continuum to that interference is not persuasive.

Fourth cause of action – accounting

The motion is denied as to Vierergruppe and Continuum.

An accounting requires a relationship warranting an accounting and a balance due to the plaintiff that can be determined only through an accounting. A fiduciary relationship is not indispensable. The right may arise from a defendant's possession of money or property that, because of the parties' relationship, the defendant is obliged to surrender. (*Teselle v. McLoughlin* (2009) 173 Cal.App.4th 156, 179–180.)

Paragraph 37 alleges that defendants, and each of them, collected or used Hana's rent and CAM payments and possess the information necessary to determine the sums properly charged and the funds that should be returned. Paragraph 38 alleges, based on information from repairpersons and otherwise, that it appears defendants did not use the collected amounts for their required purposes and that an unknown portion "appears likely" to have been converted and pocketed by defendants. These allegations must be read together with the allegations of joint participation and charges for expenses not actually incurred. (Complaint, ¶¶ 5, 8, 17, 37–38.)

Although paragraph 38 uses qualified language, the Court liberally construes these allegations as asserting that the management defendants themselves wrongfully retained an unknown portion of payments that should be returned to Hana. On that construction, the complaint sufficiently alleges a relationship requiring an accounting and a balance due that cannot presently be determined without one. The conclusion rests on the allegations of wrongful retention, not merely on the managers' agency status, their collection of rent for Tenet, or their possession of accounting records. Those circumstances alone would not establish that either manager owes Hana a balance.

The Court does not equate unpaid repair invoices with improper CAM charges. Section 13.5 permits various incurred expenses, management charges, and reserves. Those provisions will bear on whether any charge or retention was improper. They do not conclusively defeat the allegations of charges for nonexistent expenses and diversion of funds.

Hana shall have 30 days after service of notice of this ruling to file and serve an amended complaint addressing the defects in the second cause of action. (Code Civ. Proc., § 438, subd. (h)(2).)

Motion for leave to file cross-complaint

The motion is granted.

Tenet seeks to assert claims against Hana arising from alleged nonpayment of rent and related charges beginning in December 2025. Tenet served its answer before those alleged defaults arose. Accordingly, the proposed claims were not compulsory cross-claims that Tenet omitted when answering. The mandatory relief provisions of Code of Civil Procedure section 426.50 do not govern. (*Crocker National Bank v. Emerald* (1990) 221 Cal.App.3d 852, 864.)

Under Code of Civil Procedure section 428.50, subdivision (c), the Court may grant leave in the interest of justice. The Court exercises that discretion in favor of permitting the proposed cross-complaint.

The proposed pleading concerns the same lease, rent obligations, CAM charges, and disputed allocation of contractual responsibilities already at issue. It adds no new parties. Although it asserts affirmative claims for rent and related relief, the substantial factual and contractual overlap favors resolving the parties' competing claims in this action.

The Court has considered Hana's objections concerning delay and the supporting declaration. New counsel's substitution does not erase the period during which Tenet already knew of any unpaid rent. Brandon Q. Tran's declaration could have identified more precisely when Tenet first learned of the facts supporting its claims. It nevertheless identifies the alleged defaults, counsel's substitution in February 2026, the ensuing review, the May 6, 2026 default notice, and the reasons for seeking leave. The proposed pleading identifies the claims and their effect on the action.

Even treating Tenet as aware of the alleged default beginning in December 2025, the interval before its June 1, 2026 motion does not warrant denial in the circumstances presented. The claims concern later events in an existing contractual relationship, and their resolution substantially overlaps the pending dispute.

The Court also considers the additional preparation and discovery the cross-complaint may require. Trial is currently set for December 14, 2026. Hana's generalized assertions that discovery must begin anew do not establish prejudice sufficient to outweigh the benefits of resolving these related claims together. The proposed pleading principally concerns the lease, payment history, CAM charges, notice, and the parties' communications.

This ruling does not establish that Hana defaulted, that the amount demanded is correct, or that the lease's restrictions on offsets are

		enforceable as applied. Those issues remain subject to Hana’s response and adjudication on the merits. The proposed cross-complaint reserves a possible separate unlawful detainer proceeding; this order does not grant possession or adjudicate any such proceeding. Tenet shall file and serve the proposed cross-complaint attached as Exhibit A to the Tran declaration, including its referenced exhibits, within 10 days after service of notice of this ruling. The parties shall promptly meet and confer concerning any discovery specifically required by the cross-complaint. This ruling does not itself reopen discovery or modify the trial date. Any necessary request for relief from existing discovery deadlines shall be presented under Code of Civil Procedure section 2024.050. Defendants shall give notice.
9.	2025-1495388 Sirott vs. Giammichele Law, APC	Case Management Conference Defendants Tustin Law Group, APC, formerly known as Giammichele Law, APC, and Steven Andrew Giammichele (collectively, “Defendants”) demur to the legal malpractice claims alleged in the First Amended Complaint (“FAC”) by Plaintiff Adrienne Sirott (“Plaintiff”), individually and as personal representative of the Estate of Stanley A. Sirott. The demurrer is overruled. <u>Judicial notice and standard of review</u> Defendants’ request for judicial notice is granted as to the issuance of letters testamentary to Plaintiff on April 14, 2025. The remaining requests concerning related proceedings are denied as unnecessary to resolution of the demurrer. The existence of those proceedings does not establish the truth of disputed factual assertions made in them. (Evid. Code, § 452, subd. (d); <i>Richtek USA, Inc. v. uPI Semiconductor Corp.</i> (2015) 242 Cal.App.4th 651, 659–660.) A demurrer tests the sufficiency of the pleading. The Court accepts properly pleaded material facts and reasonable inferences from those facts, but not conclusions of law. The FAC must be read reasonably and as a whole. (<i>Blank v. Kirwan</i> (1985) 39 Cal.3d 311, 318.) <u>Plaintiff’s individual claim</u> An estate-planning attorney’s duty to a nonclient beneficiary is limited. The client’s intent to benefit that person in the manner asserted must be clear, certain, and undisputed. Merely alleging